

5-2 Merchandise Transactions

This section illustrates merchandise transactions for **NetSolutions** after it becomes a retailer of computer hardware and software. During 20Y6, Chris Clark implemented the second phase of NetSolutions’ business plan. In doing so, Chris notified clients that beginning July 1, 20Y7, NetSolutions would no longer offer consulting services. Instead, it would become a retailer.

Objective 2 - Describe and illustrate the accounting for merchandise transactions.

NetSolutions’ business strategy is to offer personalized service to individuals and small businesses that are upgrading or purchasing new computer systems. NetSolutions’ personal service includes a no-obligation, on-site assessment of the customer’s computer needs. By providing personalized service and follow-up, Chris feels that NetSolutions can compete effectively against such retailers as **Best Buy (BBY)** and **Office Depot (ODP)**.